PM Interview at Navi - Product Case

Problem Statement -

You are a PM at Namma Yatri. The business team has proposed increasing our prices in line with our competitors. Should we do it? If yes, how should we do it?

Candidate -

Before I structure anything, I would like to ask a few clarifying questions.

- What is the business goal behind this proposal?

Interviewer - To increase revenue.

Candidate -

- My understanding is that Namma Yatri does not take a commission on rides. Drivers pay a small daily subscription, and the full fare goes to the driver. Is that right?

Interviewer - Yes, broadly. Drivers pay a fixed daily fee to use the platform.

Candidate -

Got it. Then this is important. If we increase the fare, the extra money goes to the driver, not to us. Our revenue goes up only if more drivers come online on more days.

- Which modes are we talking about: autos, cabs, or both?
- How much cheaper are we than competitors today?

Interviewer - Both autos and cabs. We are roughly 20-30% cheaper than Ola, Uber and Rapido, mostly during peak hours.

Candidate -

Okay. I want to quickly go through the rider journey to see where pricing affects the user.

User journey →

1. Open the app
2. Enter pickup and destination
3. See the price for each mode (auto, cab)
4. Select a mode and confirm the booking
5. Driver accepts the ride
6. Ride completed and payment done

Pricing affects two steps →

- Step 3-4: a higher price can reduce the number of riders who book after seeing the price. Many riders check 2-3 apps before booking, so they will compare.
- Step 5: a higher price means more earnings for drivers, so more drivers will accept rides and stay online. That means fewer "no driver found" cases.

So the answer depends on what our bigger problem is today: not enough riders, or not enough drivers?

Interviewer - What do you mean?

Candidate -

If many riders search but don't get a driver, especially in peak hours, then we are supply-constrained. A higher price in those hours will bring more drivers and actually increase completed rides.

If drivers are available but riders are not booking, then a price increase will only push riders to competitors.

Do we have data on what % of searches don't get a driver?

Interviewer - In peak hours, around 30% of searches don't get a driver. In non-peak hours, it's less than 10%.

Candidate -

Then my answer is **yes, but not a blanket increase**.

- Peak hours → we are short on drivers. A price increase here brings more drivers, completes more rides, and more drivers will stay subscribed. This helps our revenue.
- Non-peak hours → we already have enough drivers. A price increase here only reduces bookings. So I would keep these prices as they are.
- Being cheaper is a big reason riders choose Namma Yatri. So even after the increase, I would keep our price slightly below competitors.

Interviewer - Okay. How would you decide the price?

Candidate -

Price = base fare + distance fare + a demand multiplier →

1. Base and distance fare → stays as it is today.
2. Demand multiplier → based on searches vs available drivers in an area at that time.
    a. Peak hours (office hours, evenings)
    b. Rain or events
    c. Long rides to areas where the driver is likely to come back empty
3. Cap the multiplier (for example, 1.3x) so we always stay below competitors.
4. Show the final price upfront, with a simple reason like "High demand right now".

Interviewer - What about charging more in richer areas, or to users who ride with us often? They are less likely to leave.

Candidate -

I thought about it, but I would not do that.

- Charging loyal users more punishes our best users. If they find out, we lose trust.

- Pricing by how rich an area is feels unfair, and it goes against Namma Yatri's fair-pricing image.
- Demand and supply already capture most of this. Busy areas at peak time will get a higher multiplier anyway.

Interviewer - Fair. How will you test it?

Candidate -

I would run an A/B test, with 20% of users seeing the new pricing and 80% seeing today's pricing.

Interviewer - Both groups of riders share the same drivers. Is that a problem?

Candidate -

Yes, good point. If the 20% group pays more, drivers will prefer their rides, and the 80% group will get fewer drivers. Both groups get affected, so the result will be wrong.

So I would test by area instead →

- Pick a few similar areas in Bangalore. Turn on new pricing in some (test) and keep others the same (control).
- Or switch the new pricing on and off in the same area every alternate day.
- Run it for 4 weeks so that weekdays, weekends and a few rainy days are covered.

Interviewer - What will you measure?

Candidate -

Type	Metric	Expected
Business (primary)	Subscription revenue: active drivers × days online	Up
Rider	Search → booking conversion	Slightly down
Rider	% of searches that get a driver	Up
Rider	Completed rides per area, 4-week retention	Same or up
Driver	Earnings per hour, hours online	Up
Guardrail	Price complaints, app rating, cancellations	No big drop

I would roll it out if completed rides and driver hours go up, and rider conversion does not drop by more than a few percent.

Interviewer - Okay, summarise.

Candidate -

- Since drivers keep the full fare, a price increase helps our revenue only by bringing more drivers online.
- We are short on drivers in peak hours, so increase prices only in peak, high-demand moments, with a cap that keeps us cheaper than competitors.

- Don't price by area wealth or user loyalty.
- Test by area or by alternate days, not by user, and track driver hours, completed rides and rider conversion.